

Here's another scenario. Price moves up like you see from B to C. However, the closest knot of support is *below* the price of a prior peak (looking back a year or two). That prior peak will act as support, and the stock will likely turn there. In other words, as price drops, it first finds support at the prior peak, and if it were to continue down, it would then find support at a knot along the BC run. The *high* price of the peak would be my target.

In another scenario, you'll see price confirm the big M and then reverse. Price climbs a few percent (up to 4% or so) above the top of the big M and then reverses. Often a strong move down follows.

It's like traders push up the stock to hit stop-loss orders placed by the shorts, and once they are out of their positions, they drive price lower, cleaning the table.

What I'm describing is an example of a double busted big M. Those are nasty for shorts unless they time it right. How do we play this scenario? Price closes above the top of the big M, busting the downward breakout and then reverses to head back down. That's the time to short.

Finally, in a number of cases, I saw a large gap open as price climbed up to the big M (during the BC rise). The top of those gaps supported price on the way down, so they make for a good price target.

[Table 6.11](#) shows information that I mentioned previously but decided to put in a table for your viewing pleasure.

[Table 6.11](#) Special Features

Description	Bull Market	Bear Market
Higher left peak, performance	16%	22%
Higher right peak, performance	17%	22%
Even peak, performance	18%	19%
Median days from launch price to left peak	27	23
Median days from right peak to ultimate low	49	40

Higher peak performance. I looked at performance based on which peak of the big M was above the other (or even). In bull markets, a higher right peak suggests better performance. I would have guessed that a lower right